

July 15, 2026 06:20 AM GMT

Estun Automation Co Ltd | Asia Pacific

2Q26 Prelim Result Beat Consensus, but Below MSe

Reaction to earnings

Unchanged

Impact to our thesis



Modest upside

Financial results versus consensus

Largely unchanged

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Estun reported prelim 1H26 net profit of Rmb150-180mn (vs. Rmb7mn in 1H25).

The midpoint implies 2Q26 NP of Rmb67mn (vs. net loss of Rmb6mn in 2Q25, -31% QoQ), above consensus but below MSe. Growth was driven by:

- GPM improved both YoY and QoQ, supported by improved product mix (higher contribution of large payload industrial robots) and lower expense ratio from the optimization of operations.
- Fair value gain from the restructuring of Nanjing Technical and Nanjing Chemical Fibre.

Estun's 1H26 prelim non GAAP NP is expected to reach Rmb60-75mn (vs. loss of Rmb18mn in 1H25). The midpoint implies 2Q26 recurring NP of Rmb48mn (vs. loss of Rmb22mn in 2Q25, +149% QoQ).

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Asia Summer School 2026

Estun Automation Co Ltd (002747.SZ, 002747 CS)

China Industrials | China

Stock Rating

Industry View

Price target

Shr price, close (Jul 14, 2026)

52-Week Range

Sh out, dil, curr (mn)

Mkt cap, curr (mn)

EV, curr (mn)

Avg daily trading value (mn)

Underweight

In-Line

Rmb29.60

Rmb38.40

Rmb49.00-19.21

869

Rmb33,374.0

Rmb34,815.8

Rmb946

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Valuation Methodology and Risks

Estun Automation Co Ltd (002747.SZ)

For its core business, we apply 50x 2027e P/E, below its historical two-year forward P/E average of 65x, appropriate given its lower margin profile and our separate valuation of the humanoid business.

For the humanoid business, we apply 15x to our 2028e sales forecast of Rmb680mn, reflecting its plan to acquire the remaining stake in Codroid. This is below the ~20x average for leading humanoid OEMs, given Estun's smaller scale and market share.

Risks to Upside

- Stronger-than-expected growth in China's industrial robot market and faster-than-expected pace of market share expansion
- Faster-than-expected cost reduction in core components for robots

Risks to Downside

- Slowdown in China's industrial robot market and aggressive price competition
- Slowdown of advanced manufacturing capex and China's investment in new infrastructure

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Estun Automation Co Ltd (002747.SZ) - As of 07/15/26 GMT in CNY
Industry : China Industrials



Stock Rating History: 7/1/21 : O/I; 6/30/22 : U/I; 2/4/23 : U/A; 1/8/25 : U/I

Price Target History: 6/24/21 : 43.3; 9/6/21 : 34; 6/30/22 : 15; 5/23/23 : 17; 7/7/23 : 18; 1/5/24 : 14; 2/27/24 : 12; 5/8/24 : 11; 9/2/24 : 7; 1/8/25 : 12; 3/12/25 : 15; 5/19/25 : 13; 9/8/25 : 19; 7/7/26 : 29.6

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target ---

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/14/2026)
Chelsea Wang		
China Railway Group (601390.SS)	E (05/12/2022)	Rmb4.33
China Railway Group (0390.HK)	E (08/11/2025)	HK\$3.38
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.69
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb119.50
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb14.20
iRay Technology Company Limited (688301.SS)	O (07/07/2026)	Rmb100.38
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb42.99
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb93.99
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb70.13
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK\$9.76
Centre Testing International Group (300012.SZ)	E (11/18/2024)	Rmb13.31
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK\$4.57
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb5.51
DR Laser (300776.SZ)	E (12/17/2021)	Rmb152.00
Estun Automation Co Ltd (002747.SZ)	U (06/30/2022)	Rmb38.40
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK\$18.88
Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb34.15
Jiangsu Guomao Reducer Co Ltd (603915.SS)	U (01/08/2025)	Rmb13.39
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb107.70
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb42.87
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb386.87
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb18.63
Shenzhen Inovance Technology (300124.SZ)	++	Rmb60.25
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb58.68
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK\$39.38
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb236.40
Times Electric (3898.HK)	E (01/22/2026)	HK\$34.06

WeiChai Power (2338.HK)	O (03/30/2026)	HK\$34.12
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb27.65
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb44.36
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb34.47
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb51.11
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb24.00
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb42.39
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK\$6.77
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb7.13

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.